> the unit-holders. In view of these advantages, such institutions seem to be particularly suitable in India, where in order to increase capital available to industries, small savings have to be drawn into the investment market.[17]

The Committee was alive to the fact that in such organizations, neither the trustees nor the unit-holders had control over the management of the company, and there was the danger of the company not being run in the best interest of the unit-holders. But it was of the view that with adjustments in the existing legal provisions, managerial malpractices could be prevented. The Committee made the following recommendation:

> The Committee is of the opinion that industrial investment can be assisted through the formation of investment trusts and unit trusts. The Committee therefore feels that unit trusts in particular would be eminently suitable to conditions in India and that steps should be taken by both the public and private sectors to encourage the formation of such institutions.[18]

The RBI was unenthusiastic, preferring initiative in this respect to come from the private sector. RBI Governor Rama Rau while reporting to the Central Board acknowledged that the unit form of investment would help the small investor who had little knowledge of the market but there was nothing the bank could do for the moment about setting up unit trusts. The Central Board agreed and there the matter rested for some years.

It appears that Shroff had set his heart on setting up unit trusts and a hire-purchase corporation in India. When he went to the US at the invitation of George Woods in 1959, he explored the possibility of persuading foreign investment banks to invest in India and set up unit trusts. He wrote to J.R.D. Tata from Washington saying that through the courtesy of George Woods he had met people who had promised all technical assistance to set up a large scale hire-purchase financing corporation in India. Nothing came of this but Shroff set his staff at the Investment Corporation of India, (which was in essence a closed mutual fund), and New India Assurance, both companies which he headed, to start work on a plan for setting up a unit trust.